



Bureau of Experts at the Council of Ministers
Official Translation Department

Mining Investment Law

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Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

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Mining Investment Law

Part 1: Definitions and Preliminary Provisions

Article 1

In this Law, the following terms and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

Law: The Mining Investment Law.

Ministry: The Ministry of Industry and Mineral Resources.

Authority: The Saudi Geological Survey.

Minister: The Minister of Industry and Mineral Resources.

Regulations: The Implementing Regulations of this Law.

Mining Activity: Any operation carried out on deposits by means of reconnaissance, exploration, exploitation, processing, refinement, or any other mining-related activities.

Mining Sector: The Ministry, the Authority, companies established by the Ministry or by the Authority, and all other mining-related entities.

Person: A natural or legal person.

License: A document issued by the Ministry permitting a person to engage in a mining activity within a specified area, in accordance with the provisions of this Law and its Regulations.

Qualified Person: A person who meets the requirements for obtaining a license in accordance with the provisions of this Law and its Regulations.

Licensee: A person who is granted a license in accordance with the provisions of this Law and its Regulations.

License Site: A location the geographic coordinates of which are delineated in the license.

Transfer: The transfer of a license from a licensee to another qualified person.

Reconnaissance: A preliminary geological survey which, prior to the commencement of exploration, is conducted for the identification of the geological environment and surface evidence of minerals and ores.

Exploration: An extensive activity carried out to explore deposits at any site using geological, geophysical, or geochemical methods; various forms of excavation; or any other appropriate method to determine the presence of such deposits as well as their extent, quantities, qualities, and mining feasibility.

Exploitation: The process of extracting ores and minerals, whether by mining or quarrying, including any direct or indirect activity necessary to achieve this purpose.

Mining: The process of extracting useful ores or mineral formations from land or marine areas, or evaporites resulting from the evaporation of seawater or natural water bodies, including any direct or indirect mining activity necessary for such purpose.

Deposits: Naturally occurring minerals or ores which are available in economically viable quantities.



Ores: Natural accumulations of one or more minerals at a specific area, which make them economically viable.

Minerals: Inorganic metallic or non-metallic compounds with distinctive chemical compositions and physical properties, classified as follows:

Class A: Metallic minerals, precious and semi-precious stones, and ores that require advanced operations and concentration, as classified in the Regulations;

Class B: Non-metallic minerals, industrial minerals, and raw materials, as classified in the Regulations; and

Class C: Materials used for construction purposes, as classified in the Regulations.

Mineral Formations: Natural geological forms and structures in which ores or minerals are found.

Evaporites: Materials extracted or resulting from the evaporation of water.

Mine: A place from which useful minerals or ores are extracted, whether from the surface or subsurface of the earth, or from seawater or natural water bodies from which evaporites are extracted.

Small Mine: A mine the area of which does not exceed one square kilometer, and is classified as such by the Ministry according to the volume of the mineral deposit, production of ore, and capital investments.

Quarry: A place located in a mountain or in the ground where rocks, minerals, or ores are extracted.

Processing: Refining ores, removing impurities, or increasing concentration.

Excavation: Digging a hole or an opening in the ground of any type.

Polishing: Rubbing the surface of minerals or rocks to make them smooth and shiny.

Smelting: Melting minerals by heat or by any other means for refining and processing purposes.

Concentration: The percentage of a given mineral in a product.

Rocks: Natural earth materials which exist in solid form and which are generally composed of a metamorphic mineral assemblage that consists of one or more minerals.

Gravel: Small stones ranging between 2mm and 75mm in diameter.

Sand: Granular material, the size of which is less than 2mm, which results from the disintegration, fracturing, erosion, abrasion, or weathering of components of the Earth's crust.

Layer: A layer of the Earth with consistent characteristics distinguishing it from other layers.

Mineral Reserve Area: An area that contains quantities of ores or minerals found at mineable sites whose economic viability is geologically established or projected by the volume of mineral formations.

Mining Complex: Lands designated for conducting mining activities.

Public Utilities: Lands on which road networks, streets, public railways, airports, ports, oil and gas pipelines, or energy projects are constructed, or lands that are allocated for approved water projects.

National Geological Database: A digital database that contains the geological, geochemical, geophysical, topographic, and geographic data of the State, as well as the results of survey studies and exploration activities, information on licenses, mineral reserve areas, and mining complexes.

Reclamation: Works that a licensee is required to carry out, upon completion of any activity within the license site, to restore it to an appropriate natural condition, in accordance with the laws.



Closure: Works that a licensee is required to carry out to close down the license site upon completion of activities therein and completion of reclamation works.

Hydrocarbons: Conventional or non-conventional hydrogen and carbon compounds which exist in their liquid or gaseous state, such as crude oil, tight oil, shale oil, condensates, natural gas, shale gas, methane hydrates, natural tar, and bitumen, which are extracted or recovered from the surface or subsurface of the earth.

Hazardous Waste: Solid, liquid, gaseous, or radioactive waste which contains materials detrimental to humans or the environment and which results from mining activities.

Surface Rental: A payment made by a licensee as rent for the land covered by the license.

Maritime Zones: The areas covered by the Law of the Maritime Zones of the Kingdom of Saudi Arabia.

Control: The ability, whether direct or indirect, to exercise effective influence over the actions and decisions of another person.

Article 2

1. All surface or subsurface deposits, including ores of all types, forms, and compositions, shall be deemed the property of the State and may not be claimed by others by prescription. This shall include the State's land territory and maritime zones.
2. Ownership of minerals and ores covered by an exploitation license shall, in accordance with the provisions of this Law, transfer to the licensee upon their extraction from the license site during the term of the license.

Article 3

Without prejudice to the powers of relevant agencies, the Ministry shall be the authority in charge of applying the provisions of this Law and overseeing the implementation thereof. For this purpose, it may, among other things, undertake the following:

1. Issuing the regulations, forms, procedures, and guidelines necessary for the implementation of the provisions of this Law.
2. Setting policies for the mining sector and overseeing their implementation.
3. Designating the lands and maritime zones over which licenses may be granted pursuant to the provisions of this Law, in coordination with the Ministry of Energy with respect to matters falling within its jurisdiction.
4. Determining surface rentals and fees for licenses and services provided by the Ministry, in accordance with the provisions of this Law and its Regulations.
5. Reviewing applications filed to obtain any type of rights granted under this Law and issuing the licenses conferring such rights in accordance with its provisions.
6. Collecting fees and financial returns from bids, surface rentals, and fines prescribed under this Law.
7. Promoting research, development, planning, and investment in the field of mining.
8. Seeking to achieve a systematic expansion of the infrastructure of mining and related services in a sustainable, efficient, and reliable manner.



9. Coordinating with the Authority in:
 - a) designating mineral reserve areas;
 - b) developing and updating the National Geological Database; and
 - c) providing the maps, survey data, studies, and research necessary for mining investment.
10. Coordinating with the relevant agencies to provide the infrastructure facilities necessary for mining areas, including roads, railways, ports, power plants, and power and water supply lines.
11. Ensuring complementarity and cooperation with the relevant agencies in monitoring mining sites.
12. Monitoring occupational health and safety measures that a licensee is required to comply with.
13. Coordinating with the Ministry of Interior to implement its mining-related security, safety, and fire protection instructions.
14. Overseeing the licensee's activities.
15. Determining the content and form of any study, report, or directive requested in accordance with this Law or its Regulations.
16. Setting and updating development plans and programs for the mining sector and monitoring their implementation.
17. Identifying the ores, minerals, and elements that may not be developed, are reserved for future exploration or exploitation, or are subject to special regulation.
18. Qualifying specialized companies and firms to ensure compliance and detect violations, as prescribed by the Regulations.

Article 4

The Ministry shall establish the following registers:

1. Application Register: to record all license applications filed with the Ministry.
2. License Register: to record all issued licenses and any action taken thereon, including renewal, amendment, transfer, extension, liens, termination, and expiration as well as any action affecting such licenses.
3. Mineral Area Register: to record the particulars of mineral areas, including mining complexes and mineral reserve areas.

The Ministry shall, in coordination with the Authority, make the registers accessible to the public, in accordance with the Regulations.

Article 5

Without prejudice to the provisions of Article 2, the provisions of this Law shall not apply to the following:

1. Hydrocarbon materials, deposits, or resources, excluding coal.
2. Pearls, coral, and similar marine substances.



Part 2: Exempted and Non-Exempted Lands and Areas

Article 6

1. Subject to the provisions of this Law and other relevant laws, mining activities may be carried out on State-owned lands, privately owned lands, lands part of which is owned by the State and the other part is privately owned, or in maritime zones.
2. The following shall be excluded from the provision of paragraph (1) of this Article:
 - a) Lands of holy sites.
 - b) Lands occupied by military installations or areas reserved for hydrocarbon exploration or operations, unless the relevant minister issues a decision to lift the restriction thereon upon the Minister's request.
 - c) Lands and maritime zones excluded pursuant to a decision by the Council of Ministers.

Article 7

1. A reconnaissance license may be granted for all lands and maritime zones, except for those provided for in Article 6(2) of this Law.
2. Exploration or exploitation licenses may, upon obtaining the necessary approvals and permits from relevant government agencies, be granted for the following lands and maritime zones:
 - a) Lands of public utilities.
 - b) Areas designated by law as tourist sites, archaeological sites, historical sites, wildlife reserves, pastures, forests, national parks, wildlife parks, and geological parks.

Article 8

The Ministry shall, upon receipt of a complete application that meets all conditions for a license of exploration or exploitation in the lands and areas specified in Article 7 of this Law, communicate with the relevant government agencies to obtain the necessary approvals and permits. If no objection is received from any of the agencies within 30 days from the date of receipt of said communication, the application shall be deemed approved by said agency. The applicant may, upon receiving an objection from any of the agencies, exclude the lands and areas subject of the objection which overlap with the lands and areas stated in Article 7 and proceed with the application within a maximum period of 30 days from the date of notification of the objection.

Article 9

Without prejudice to the provisions of Article 6 of this Law and upon coordination with the relevant agencies, the Minister may designate any land or maritime zone as a mineral reserve area, and specify prohibited activities therein for the purpose of preserving such land or maritime zone for future mining purposes.

Article 10

The Ministry shall notify the relevant agencies prior to designating a mining complex. If no objection is received from any of such agencies within 30 days from the date of notification, said agency's approval shall be deemed granted.



Part 3: Licensing General Provisions

Article 11

1. The Ministry shall set the conditions for all types of licenses and shall determine the procedures for their issuance, renewal, extension, transfer, and amendment, as well as the procedures for the relinquishment of the license or part of the license site, in accordance with the provisions of this Law and its Regulations.
2. All applications for license issuance, renewal, extension, transfer, amendment, as well as for the relinquishment of a license or part of a license site, as stipulated in this Law, shall be filed with the Ministry, as per the forms and procedures set out in the Regulations.

Article 12

The terms and conditions of any license may not be amended during its term, except upon a request by the licensee and the approval of the Ministry. A license may be renewed or extended pursuant to terms and conditions agreed with the licensee, as specified in the Regulations.

Article 13

1. With the exception of a reconnaissance license, licenses provided for in this Law may be issued only to legal persons.
2. Reconnaissance, exploration, or exploitation operations may not be carried out prior to obtaining the license authorizing such operations, except for the following entities:
 - a) The Authority: it may, upon notifying the Ministry, carry out all the tasks and works set out in its Statute by itself or through a third party.
 - b) Relevant official agencies, universities, institutes, and national research centers: they may, upon the Ministry's approval, conduct scientific research relating to reconnaissance or exploration, provided that such research is not used for commercial purposes unless approved by the Ministry. A copy of the research findings must be provided to the Ministry.

Article 14

1. Licenses that grant rights under this Law are:
 - a) reconnaissance licenses;
 - b) exploration licenses; and
 - c) exploitation licenses.
2. An exploitation license shall include:
 - a) a mining license;
 - b) a small mine license;
 - c) a building materials quarry license; and
 - d) a general purpose license.
3. Subject to the provisions of Article 13 and in accordance with the controls specified in the Regulations, any person may obtain more than one license.



Article 15

An application may be filed for a license in respect of a specific layer, and the Ministry may impose restrictions on a specific layer, in accordance with the Regulations.

Article 16

Subject to relevant laws, an applicant must meet the technical and financial requirements necessary to fulfill the obligation required by the license sought, in accordance with the Regulations.

Article 17

An application for the issuance, renewal, extension, or amendment of any license filed in accordance with this Law and its Regulations may not be rejected without a clear written justification. The applicant may appeal such rejection before the Administrative Court.

Article 18

Subject to the provisions of Article 19 and Article 41(6), if the Ministry receives more than one license application for the same site, priority shall be given to the earlier filed application as recorded in the application register, provided that:

1. the requirements provided for in Article 16 are met; and
2. the application fees are paid and the other license requirements are met, in accordance with the Regulations.

Article 19

The Ministry may designate lands or maritime zones to be offered for bidding, and the licenses thereof may only be granted through bidding, in accordance with this Law and its Regulations.

Article 20

1. An exploration or exploitation license may, upon the request of a licensee, be transferred to a qualified person in accordance with the Regulations. The request may not be rejected if it meets the conditions prescribed by this Law and its Regulations.
2. The license rights and obligations shall transfer to the new licensee upon the issuance of the transfer decision.
3. Notwithstanding paragraph (1) of this Article, an exploration license may not be transferred, directly or indirectly, within the first year of its term.
4. The transfer shall become effective after the issuance of a decision by the Ministry.

Article 21

Without prejudice to the provisions of Article 20(3) of this Law, a licensee shall notify the Ministry of any change in control thereover within 30 days of the change.



Article 22

Subject to the provisions of Sharia and relevant laws, and with the exception of the reconnaissance license, a licensee may pledge the rights conferred by the license as security. Said pledge shall become effective only after the pledgor (licensee) notifies the Ministry of its registration in the license register, in accordance with the Regulations. The pledgee or his designee may enforce and transfer any pledged license rights upon satisfaction of the requirements of Articles 16 and 20.

Article 23

1. Data and information submitted by an applicant shall be deemed confidential; if the application is rejected, such data and information shall remain confidential for 180 days following the rejection date.
2. All geological reports submitted by any licensee in accordance with the Regulations shall be deemed confidential if the licensee so requests; however, such reports may, without the licensee's consent, be published in the following cases:
 - a) The lapse of five years from the date of receipt of the reports for valid licenses.
 - b) The lapse of 180 days from the expiration or termination date of the license or the partial relinquishment of the license site.

In all cases, the Ministry may handle the data, information, or reports in a manner not conflicting with the provisions of this Law.

Article 24

The Ministry may, as it deems necessary, issue decisions to suspend any operation or activity, or suspend the use of any equipment within a license site if such operation, activity, or equipment is detrimental to the safety, security, or health of the licensee's employees or others, or if it harms the environment or properties, causes unusual nuisance, or causes substantial damage to any site. The Ministry shall lift the suspension upon rectification of the situation.

Article 25

Without prejudice to the provisions of this Law and its Regulations, a license may be revoked only in the following cases:

1. If the licensee defaults in the payment of amounts due to the State for more than 180 days.
2. If the licensee provides the Ministry with incorrect information that substantially affects said licensee's operations or data.
3. If the licensee fails, within 60 days from the date of receipt of a written notice, to fulfill the obligations prescribed by this Law, its Regulations, and the terms and conditions of the license.
4. If the licensee fails to rectify the violation specified in the notice within the period stated therein, or repeats such violation.
5. If the licensee fails, within 180 days from the date of receipt of the Ministry's written notice, to take necessary measures to preserve the environment, wildlife, archaeological sites, or tourist sites.

If the license is revoked, the licensee or any related parties may not apply for another license for the same site or part thereof for a period of three years. The Regulations shall determine the procedures for license revocation.



Article 26

Without prejudice to any prior agreement with the landowner, the licensee must, within 180 days from the date of termination or expiry of the license, remove any installation, plant, machinery, equipment, tool, tailings, mined ore, other materials, or any other movable or immovable property, except for what the Ministry decides to leave in place for public interest. The Regulations shall determine the necessary terms and conditions.

Article 27

The representatives designated by the Ministry shall be entrusted with law enforcement authority, and may, under this Law, access the license site for monitoring, inspection, and detecting violations to verify compliance with this Law, its Regulations, and license terms and conditions. The licensee shall cooperate with such representatives and enable them to perform their duties in the best possible manner.

Part 4: Rights and Obligations

Article 28

Operations carried out pursuant to the licenses granted under this Law shall fall within the licensee's responsibility and shall be managed and supervised by the licensee.

Article 29

Subject to the provisions of relevant laws, the licensee shall obtain the Ministry's written approval prior to conducting an aerial survey.

Article 30

If a force majeure event prevents, hinders, or delays the licensee's performance of any obligations within the specified time, the resulting disruption or delay shall not be deemed an act of negligence or default. In such cases, the Ministry may extend the period prescribed for the work suspended or interrupted for a period not less than the duration of the force majeure event or, if possible, grant the licensee an alternative site according to the type of ore and license.

In this Article, force majeure shall mean events which arise from unexpected circumstances at the time of the issuance of the license and which are legally recognized as such; such events are not attributed to either party and they render the licensee's performance of the obligations under the license impossible.

Article 31

A licensee may relinquish the license or part of the license site, in accordance with the Regulations.



Article 32

Subject to the provisions of Article 2 of this Law, if a license site of an exploration or exploitation license, or any part thereof, is privately owned as evidenced by a title deed, or if a person has a legally established usufruct thereon, the following procedures shall be carried out:

1. The licensee shall, upon request, present the license to the owner or usufructuary of the land. The licensee may not exercise the rights granted under any type of license without an agreement with the owner or usufructuary of the land on a fair compensation for the use of the land and for any damage that the land may sustain as a result of the licensed operations, and shall submit such agreement to the Ministry prior to the commencement of operations on the land.
2. The Ministry shall, if no agreement on a fair compensation is reached between the licensee and the owner or usufructuary of the land, apply the provisions relating to the temporary taking of property as stipulated in the Law of Eminent Domain and Temporary Taking of Property.

In all cases, the rights granted under the license must be reasonably exercised and with the least impact on the interests of the owner or usufructuary of the land, and in a manner consistent with the license objectives.

Article 33

1. The licensee shall, subject to a permit issued by the Ministry upon the approval of the relevant government agencies, have all easement rights necessary for carrying out operations under the license on any State-owned land outside the license site, provided that such rights are not in conflict with the rights of other parties over such land.
2. If any of the required easement rights fall on a privately-owned land, as evidenced by a title deed, or on another license site, the licensee shall reach an agreement with the owner or usufructuary of the land or with the other licensee to acquire such rights in the manner prescribed by law.
3. Without prejudice to paragraph (1) of this Article and for the purposes of enabling the licensee to carry out operations under the license, easement rights shall, under this Article, include, but not be limited to, the use of all types of roads and telecommunication lines, as well as surface and groundwater if no alternative water resources are available, provided that such use does not conflict with water conservation laws and instructions.

Article 34

The licensee shall comply with applicable laws, orders, and decisions, as well as with this Law and its Regulations.



Article 35

1. An applicant for a mining license, a small mine license, or a general purpose license shall include in the application an environmental and social impact assessment and a plan for site reclamation and closure, as specified in the Regulations. The applicant shall, pursuant to the license and in accordance with the Regulations, take the measures necessary to preserve and protect water resources, the environment, and wildlife against hazardous waste or any other environmental damage.
2. The legally competent agency for the environment in the Kingdom shall render a decision on the environmental impact assessment within 60 days from the date of receipt thereof. The Minister may extend said period for certain mining activities.
3. The Ministry's approval of the site reclamation and closure plan shall be made after such plan is approved by the competent environmental agency.
4. An applicant for a mining license or a small mine license shall include in the application a feasibility study for the project, which shall demonstrate its contribution to the development of local communities within or near the license site and to local content, as well as the cost of site reclamation and closure.
5. An applicant for an exploration license or a building materials quarry license shall include in the application an environmental impact management plan that complies with the requirements and specifications set by the competent environmental agency. The applicant shall also submit a social impact management plan for the activities that contribute to the development of local communities, in accordance with the Regulations.

Article 36

The licensee shall preserve any archaeological finds, including buildings, engravings, inscriptions, and drawings found within the license site, and shall promptly notify the Ministry upon becoming aware of such finds.

Article 37

1. The holder of an exploitation license shall provide a financial guarantee for reclamation and closure.
2. The Regulations shall determine the amount of the guarantee according to the nature of each mining activity. The guarantee and any remainder thereof may only be released after the approval of the competent environmental agency upon verifying the licensee's compliance with the reclamation plan.



Part 5: License Rights

Article 38

The Ministry shall issue a reconnaissance license for a term not exceeding two years for any area specified by the applicant. Said license may be extended or renewed for a single additional term not exceeding two years. The Regulations shall determine the license terms and conditions.

Article 39

A reconnaissance license shall entitle the licensee to survey and explore the site specified in the license. The licensee shall have a non-exclusive right over the license site to:

1. examine the deposits covered by the license and collect samples;
2. prospect the area covered by the license, except for areas excluded under this Law;
3. use geophysical and geochemical methods, as well as other scientific methods;
4. carry out any other reconnaissance activity commonly used in the preliminary examination of lands with potential minerals or ores;
5. have access to non-confidential maps and data maintained by the Ministry; and
6. any other rights provided for in the Regulations.

The reconnaissance license shall not entitle the licensee to carry out any type of excavation, construct any permanent installations, produce minerals for use or sale, use explosives, or damage or remove any vegetation cover, nor shall it confer upon the licensee any priority or any other right to obtain any other license. The Ministry may grant a holder of a reconnaissance license or any other party any other license over the same area or part thereof. Nevertheless, a license granting exclusive rights over certain areas shall exclude such areas from the scope of the reconnaissance license without any liability on the Ministry. The reconnaissance license shall not entitle the licensee to enter private land without obtaining the consent of its owner or usufructuary according to terms they agree upon.

Article 40

The Ministry shall issue exploration licenses and shall determine their area, term, and manner of renewal according to the following conditions:

1. For Class A and Class B minerals, the site area shall not exceed 100 square kilometers, the license term shall not exceed five years, and the license may be renewed for multiple terms, provided that each term does not exceed five years and that the total term of the license, including all renewal terms, does not exceed 15 years, subject to the Regulations.
2. For Class C minerals, the site area shall not exceed five square kilometers and the license term shall be only for one non-renewable year, subject to the Regulations.



Article 41

An exploration license shall grant the licensee the following exclusive rights over the license site:

1. Exploring the minerals covered by the license.
2. Collecting samples from the license site to determine whether the site contains the minerals covered by the license, provided that they are not sold or commercially exploited.
3. Using any exploration method that precedes commercial production.
4. Establishing camps as well as facilities necessary for the protection of exploration machinery and equipment.
5. Using sand, gravel, or similar materials to the extent necessary to achieve the purposes of the license.
6. Obtaining, during the term of the exploration license, an exploitation license for areas within the exploration license site, provided that the licensee fulfills all the obligations and satisfies the exploitation license requirements specified in this Law and its Regulations, and proves the economic viability of exploiting ores and minerals. If the exploration license expires before deciding on the exploitation license application, the exploration license shall be automatically extended until a decision on the application is rendered; in such case, the licensee shall be exempted from paying any amounts prescribed under this Law for the extended period.
7. Any other rights provided for in the Regulations.

Article 42

A mining license shall be issued by the Ministry for a term not exceeding 30 years. Such license may be renewed or extended for one or more additional periods the total of which does not exceed 30 years, provided that the initial, renewed, and extended periods do not exceed 60 years. The area of the license site shall not exceed 50 square kilometers, and its parts shall be in the form of contiguous groupings in a manner acceptable to the Ministry, and, in determining such area, technical, economic, and environmental considerations shall be taken into account. The license shall be limited to Class A and Class B minerals. For exploiting Class C minerals within the license site, the licensee shall file an application to the Ministry and pay the fees, in accordance with the Regulations.

Article 43

A small mine license shall be issued by the Ministry for a term not exceeding 20 years. Such license may be renewed or extended for one or more additional periods the total of which does not exceed 20 years, provided that the initial, renewed, and extended periods do not exceed 40 years. The parts of the license site shall be in the form of contiguous groupings in a manner acceptable to the Ministry, and, in determining the license site area, technical, economic, and environmental considerations shall be taken into account. The license shall be limited to some of Class A and Class B minerals, subject to the Regulations.



Article 44

A building materials quarry license shall be issued by the Ministry for a term not exceeding ten years. Such license may be extended for one or more additional periods, each of which shall not exceed five years. The area of the license site shall not exceed one square kilometer and its parts shall be contiguous in a manner acceptable to the Ministry, and, in determining such area, technical, economic, and environmental considerations shall be taken into account. The license shall be limited to Class C minerals, subject to the Regulations.

Article 45

1. Without prejudice to the provisions of Article 32 of this Law, an exploitation license shall grant its holder the right to invest in mining operations and to extract ores and minerals, including any direct or indirect activity necessary to achieve the objectives of mining investment, subject to the Regulations.
2. A licensee who discovers deposits of minerals not covered by the license may, within 90 days from the date of the discovery, file an application with the Ministry for an exploitation license for such deposits or for the modification of the current license.
3. An exploitation license shall not entitle its holder to own any part of the land covered by the license, nor shall it entitle said holder to any other right not expressly provided therein.
4. Without prejudice to the provisions of Article 35 of this Law and in accordance with the license terms and conditions, the holder of an exploitation license shall, for the purpose of exploiting minerals covered by the license, have the following exclusive rights:
 - a) Producing and exploiting minerals covered by the license within the license site, by excavation, polishing, concentration, smelting, and processing.
 - b) Transporting and selling minerals and ores in their original condition or after refinement, subject to the Regulations.
 - c) Exporting minerals and ores for commercial purposes.
 - d) Exporting non-commercial samples, subject to the Regulations.
 - e) Constructing, operating, and maintaining all mines, buildings, laboratories, workshops, pipelines, processing plants, waste disposal dumps, and other facilities necessary or appropriate to achieve the purposes of the mining activity permitted at the license site.
 - f) Establishing water, electricity, telephone, sewage, stormwater drainage, and pipeline networks, as well as power plants, railways, and private roads, upon the Ministry's written approval.
 - g) Carrying out surveys and exploration operations for ores and minerals at the license site after notifying the Ministry.
 - h) Using rocks, gravel, sand, and similar materials available at the license site to the extent necessary to achieve the purposes of the license, subject to payment of the prescribed fees.
 - i) Using available water resources to carry out the licensee's operations, in accordance with Article 33 of this Law.



Article 46

If the exploitation license covers more than one mineral and the licensee fails to exploit any one of them, the Ministry shall demand the licensee in writing to exploit such mineral. If the licensee fails to do so within 90 days, the Ministry may terminate the licensee's right to exploit such mineral and grant such right to another person, provided that this does not substantially affect the operations of the original licensee.

Article 47

If the licensee does not wish to renew or extend the license and needs the facilities located at the license site because they serve the mining operations at another license site, the Ministry may allow said licensee to do so, subject to the Regulations.

Article 48

If the holder of an exploitation license wishes to construct facilities or utilize lands outside the license site to achieve the purposes of the license, said holder shall file an application with the Ministry to obtain a general purpose license, subject to this Law and its Regulations.

Part 6: Financial Provisions

Article 49

The Table annexed to this Law shall specify the following fees:

1. Application fees.
2. License issuance, renewal, and extension fees.
3. License transfer fees.

The Council of Ministers may amend such fees upon a recommendation by the Minister.

Article 50

1. Payment of the exploitation license for Class A minerals shall be as follows:

- a) For a person not subject to income tax:

First: an amount equal to the income tax on the annual net income less the amount of due zakat.

Second: an amount for each ton of produced ore or a percentage of the net revenues resulting from the activity covered by the license, in accordance with the Regulations and upon agreement with the Ministry of Finance. Such amount shall be waived for the first five years from the license issuance date.

- b) For a person subject to income tax:

An amount for each ton of produced ore or a percentage of the net revenue resulting from the activity covered by the license, in addition to the income tax, subject to the Regulations and upon agreement with the Ministry of Finance. Such amount shall be waived for the first five years from the license issuance date.



2. A holder of an exploitation license for Class B and Class C minerals shall, upon agreement with the Ministry of Finance, pay an amount for exploitation as specified in the Regulations, in addition to applicable zakat, income tax, and other amounts due to relevant agencies.
3. The Minister may, upon agreement with the Minister of Finance, reduce the fee for any mineral or mixture thereof if processed in the Kingdom, in accordance with the Regulations.
4. The Regulations shall, upon agreement with the Ministry of Finance, determine the surface rentals for State-owned lands and the fees for other licenses and services.

Article 51

If a mineral, or material or the derivatives thereof do not have a recognized price at the point of export or the point of exploitation within the State, the Ministry shall determine their fair value, as the case may be.

Article 52

A licensee under this Law shall be entitled to the incentives provided for in other laws, particularly the Income Tax Law and the Foreign Investment Law.

Article 53

All imported equipment, machinery, and spare parts necessary for carrying out any licensed mining activity shall be exempted from customs duties according to statements and lists approved by the Ministry.

Article 54

A mining fund shall be established at the Ministry to develop and support the mining sector and mining activities through securing sustainable financing. The fund resources shall comprise the following:

1. Fees for licenses and services rendered by the Ministry.
2. Fines imposed under this Law.
3. Surface rentals.
4. Financial returns from bids.
5. Gifts, donations, and endowments.

Such resources shall be deposited in an account under the mining fund's name opened with the Saudi Arabian Monetary Authority or with banks licensed to operate in the Kingdom. The Minister shall, in coordination with the Minister of Finance, issue regulations setting out the mechanism for allocating such funds or parts thereof to the mining sector as well as to services and entities associated therewith.



Article 55

1. The Ministry shall, in accordance with statutory procedures, establish one or more subsidiary companies to provide services related to the mining sector.
2. The capital of the companies referred to in paragraph (1) of this Article shall be covered from the resources of the mining fund referred to in Article 54, pursuant to a decision by the Minister.
3. The resources of the companies referred to in paragraph (1) of this Article shall consist of the service fees and of the mining fund revenues allocated thereto pursuant to a decision by the Minister.

Part 7: Violations and Penalties

Article 56

1. Without prejudice to the provisions of Article 25 of this Law, the following acts shall be deemed in violation of this Law:
 - a) Carrying out any mining activity without a license.
 - b) Failing to comply with this Law, its Regulations, or license terms and conditions.
 - c) Submitting misleading or false information to the Ministry.
 - d) Delaying the submission of information or reports requested by the Ministry, or failing to do so.
 - e) Defaulting in payment of amounts due under this Law and its Regulations.
2. Without prejudice to any harsher penalty provided for in any other law, any person who commits any of the violations referred to in paragraph (1) of this Article shall be subject to one or more of the following penalties:
 - a) A fine not exceeding one million riyals for each violation.
 - b) Suspension of activity.
 - c) Revocation of license.
 - d) Confiscation of the machinery and equipment used in the commission of the violation.
3. The Ministry shall, pursuant to a decision by the committee referred to in Article 57 of this Law, recover all minerals, ores, and their derivatives which result from operations carried out in violation of this Law, and the revenues derived therefrom, and shall collect the fees for the exploited ores and minerals which result from such operations.



Article 57

1. The Ministry shall impose a fine not exceeding 200,000 riyals for any of the violations stipulated in Article 56(1) of this Law. If, however, it decides that the violation warrants a fine greater than 200,000 riyals, it shall refer the violation to the committee referred to in paragraph (2) of this Article.
2. Subject to the provisions of paragraph (1) of this Article, one committee, or more, shall be formed pursuant to a decision by the Minister. The committee shall comprise five members, including at least one member qualified in Sharia or law, one member qualified in finance, and one member with technical expertise in mining. The committee shall review the violations and impose the penalties stipulated in Article 56(2), except for the following penalties:
 - a) Revocation of license: it shall be imposed pursuant to a decision by the Minister, based on a reasoned recommendation by the committee.
 - b) Confiscation: it shall be referred to the competent court to render a decision thereon.

Committee decisions shall be subject to appeal before the Administrative Court within 60 days from the date of notification thereof. The Minister shall determine the committee's work procedures and the remuneration of its members.

Part 8: General Provisions

Article 58

The Ministry and the licensee may agree to settle any dispute through arbitration in accordance with the Law of Arbitration. For the purposes of this Law, the Administrative Court shall be the competent court to consider such dispute.

Article 59

No person may possess, use, sell, or dispose of any radioactive material, including uranium and thorium, except in accordance with the provisions of this Law, its Regulations, and other relevant laws. Any person who discovers any radioactive material shall immediately report such discovery to the Ministry.

Article 60

The Ministry shall, as specified in the Regulations and in the manner it deems appropriate, publish the full text of the following:

1. Decisions of a general nature.
2. Decisions pertaining to license issuance, renewal, extension, termination, and transfer.
3. Notices relating to liens registered on licenses.
4. Decisions designating mineral reserve areas and mining complexes, or terminating such designation.
5. Bidding announcements.
6. Other decisions or documents provided for in the Regulations.



Article 61

1. This Law shall supersede the Mining Investment Law promulgated by Royal Decree No. (M/47), dated 20/8/1425H, and shall repeal any provisions conflicting therewith.
2. Notwithstanding paragraph (1) of this Article, the rights granted under the Mining Investment Law promulgated by Royal Decree No. (M/47), dated 20/8/1425H, shall remain effective provided that such rights were effective before this Law enters into force. The financial provisions prescribed under this Law and its Regulations shall apply to the holders of such rights as of the date they enter into force.

Article 62

The Regulations shall be issued by the Minister and be published in the Official Gazette, and shall enter into force on the date this Law enters into force.

Article 63

This Law shall be published in the Official Gazette and shall enter into force 180 days following the date of its publication.



Appendix

Amendments

August 31, 2022 (Safar 4, 1444H)

Royal Decree No. M/27 provides for the following:

- Adding an article to be numbered 56 bis and to read as follows:
 - "1. Without prejudice to any harsher penalty, any person who, without a license, engages in any of the following acts shall be subject to imprisonment for a period not exceeding two years and a fine not exceeding one million riyals, or to either penalty:
 - a) Exploiting deposits for the purpose of sale.
 - b) Excavation for the purpose of searching for or exploiting Class A minerals.
 2. The maximum penalty may be doubled if any of the offenses stipulated in paragraph (1) of this Article are repeated. Any person who repeats an offense within three years from the date of issuance of a final enforceable judgment against him for committing any of these offenses shall be considered a repeat offender.
 3. Any person who participates, whether by agreement, instigation, or assistance, in committing any of the offenses stipulated in paragraph (1) of this Article shall be subject to the penalty prescribed for that offense.
 4. Any person who is found guilty of committing any of the offenses stipulated in paragraph (1) of this Article shall be ordered to return the money subject of the offense or to pay its value, as the case may be, together with any proceeds generated from such money. The court may order the confiscation of the machinery and equipment used in committing the offense.
 5. The Public Prosecution shall investigate the offenses stipulated in paragraph (1) of this Article and prosecute such offenses before the competent court".